Reserve Bank (1921), the Central Bank of China (1928), The Reserve Bank of New Zealand (1934), The Reserve Bank of India (1935), the Central Bank of Ceylon (1950) and the Bank of Israel (1954) were established.

History Of Indian BANKS

- The first bank of India was Bank of Hindustan (1770) {Under British Rule}
- The Banking system in India was controlled and dominated by the Presidency Banks.

There were three Presidency Banks:

1. Bank of Bengal (1806)
2. Bank of Bombay (1840)
3. Bank of Madras (1843)

They were called Presidential Banks

All Merged (1921) → IMPERIAL BANK OF INDIA → **Change into (1955)** → SBI

6.3 Commercial banks

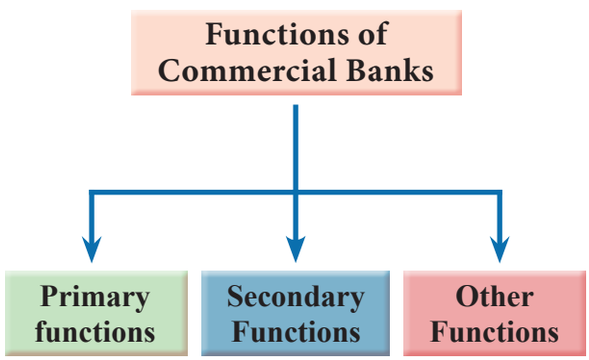
Commercial bank refers to a bank, or a division of a large bank, which more specifically deals with deposit and loan services provided to corporations or large/ middle-sized business - as opposed to individual members of the public/small business. They do not provide, long-term credit, as liquidity of assets is to be maintained.



6.3.1 Functions of Commercial Banks:

Commercial banks are institutions that conduct business with profit motive by accepting public deposits and lending loans for various investment purposes.

The functions of commercial banks are broadly classified into primary functions and secondary functions, which are shown in the picture



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